

PME • LA-IRR • LA-PME

Session 7 • Three alternatives to IRR — what they fix and what they don't

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Primary Text: Liquidity Illusion (Forthcoming, 2026)

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What we'll cover today

1

Public Market Equivalent (PME)

Kaplan-Schoar 2005

2

Direct Alpha

Refinement of PME

3

Liquidity-Adjusted IRR (LA-IRR)

GE-LAV's correction

4

Liquidity-Adjusted PME (LA-PME)

Combined approach

5

Which to use when

Decision framework

Public Market Equivalent (PME): Kaplan-Schoar 2005

Core question PME answers: would investing in the S&P 500 have produced the same outcome?

$$PME = \frac{\sum_t D_t / R_{m,t}}{\sum_t C_t / R_{m,t}}$$

Where: D_t = distributions, C_t = calls, $R_{m,t}$ = market return from t to fund-end

Interpretation:

PME > 1.0

PE outperformed the public market alternative

PME = 1.0

PE matched the public market

PME < 1.0

PE underperformed — index investing would have been better

PME's contribution: provides public-market opportunity-cost framing — but still ignores liquidity premium structure.

LA-IRR and LA-PME: GE-LAV's liquidity-adjusted versions

Both PME and IRR assume the public market is fully liquid. GE-LAV adjusts for the time-varying liquidity premium.

LA-IRR

Standard IRR with cash flows adjusted for the liquidity state at the time of each cash flow:

$$CF_t^{LA} = CF_t \cdot adj(L_t, T_t)$$

Where $adj(L_t, T_t)$ is the term-structure correction factor $\pi(L_t, T_t)$ from Session 5.

LA-PME

Kaplan-Schoar PME with both fund cash flows AND benchmark adjusted for liquidity state:

$$LA-PME = \frac{\sum D_t^{LA}}{\sum C_t^{LA}} \div \frac{\sum D_t^{LA}}{\sum C_t^{LA}}$$

Captures opportunity cost relative to a **liquidity-equivalent** public market position.

Computing both requires the $L(t)$ path — empirically observable from secondary market data.

When to use which metric: a decision framework

Use case	Recommended metric	Why
GP fundraising marketing	IRR (still)	Industry standard; LPs expect it
LP investment committee evaluation	PME + IRR + DPI	Balanced view; opportunity cost framing
Comparing across vintages	LA-IRR or LA-PME	Adjusts for regime-dependent realities
Comparing across asset classes	LA-PME	Standardizes for both market and liquidity
Manager skill attribution	Direct Alpha	Isolates alpha from timing
Risk-adjusted return (academic)	LA-CAPM + LA-PME	Theoretically grounded; GE-LAV consistent

Session 7 summary

What we accomplished today

- 1 PME (Kaplan-Schoar 2005) provides opportunity-cost framing vs. public markets
- 2 Direct Alpha is a refined PME that isolates manager skill from market timing
- 3 LA-IRR and LA-PME extend these with liquidity-state corrections — GE-LAV's contribution
- 4 No single metric does everything: use combinations depending on the question

Next session

Session 8: What a correct theory must deliver — the test list for GE-LAV